

Downward Breakouts

	Bull Market
Reversal or continuation	Short-term bearish reversal
Performance rank	32 out of 36
Breakeven failure rate	34%
Average drop	13%
Volume trend	Downward
Pullbacks	64%
Percentage meeting price target	54%

If you think of a rectangle as a horizontal consolidation region or a flat base that price uses as a springboard to a strong move, then rectangles are easier to identify and the statistics more meaningful.

Rectangle tops are solid performers in bull markets with upward breakouts as the Results Snapshot shows. They rank fourth for performance out of 39 pattern types, where 1 is best.

The other two entries, bear markets with upward breakouts and bull markets with downward breakouts, have bad and awful performance, respectively.

The breakeven failure rate in bear markets ranks 12 out of 20 (not shown, where 1 is best). That's the best (fewest failures) of the bunch. And you'll notice that only upward breakouts appear for the bear market. That's because downward breakouts are too rare to include in the chapter.

What does a rectangle top look like? Let me dig up some family photos to show you.

Tour

[**Figure 52.1**](#) shows an example of a rectangle top. Price begins its upward trek in June 1992 at 14 (not shown) and reaches the rectangle in May of the following year. The stock consolidates for over a month, bouncing between overhead resistance at 24.63 and underlying support at 23.63. A trendline drawn across the minor highs is horizontal as is another trendline